

**ACCA IFRS DIPLOMA DEC 2022 Questions**

**1 of 4**

Alpha, a parent company with one subsidiary, Beta, is preparing the consolidated statement of financial position (SOFP) as at 30 September 20X2.

The following exhibits, available on the left-hand side of the screen, provide information relevant to the question:

1. SOFP of Alpha and Beta – draft statements of financial position for Alpha and Beta as at 30 September 20X2.
2. Alpha's investment in Beta – provides details of Alpha's investment in Beta.
3. Intra-group trading – provides details of intra-group trading between Alpha and Beta.
4. Investment in Drax – provides details of an investment in Drax on 1 October 20X1.
5. Restoration costs – provides details of costs relating to the extraction of minerals.

This information should be used to answer the question **requirement** within the **response option** provided.

# 1. SOFP of Alpha and Beta

| Statements of financial position 30 September 20X2 | Alpha     | Beta    |
|----------------------------------------------------|-----------|---------|
|                                                    | \$000     | \$000   |
| Assets                                             |           |         |
| Non-current assets                                 |           |         |
| Property, plant and equipment (Exhibit 2)          | 680,000   | 430,000 |
| Intangible assets (Exhibit 5)                      | 3,000     |         |
| Investments (Exhibits 2 and 4)                     | 398,000   |         |
| Total non-current assets                           | 1,081,000 | 430,000 |
| Current assets                                     |           |         |
| Inventories (Exhibit 3)                            | 30,000    | 28,000  |
| Trade receivables                                  | 16,700    | 9,800   |
| Cash and cash equivalents                          | 12,000    | 6,450   |
| Total current assets                               | 58,700    | 44,250  |
| Total assets                                       | 1,139,700 | 474,250 |
| Equity and liabilities                             |           |         |
| Equity                                             |           |         |
| Share capital (\$1 shares)                         | 380,000   | 100,000 |
| Retained earnings                                  | 703,000   | 340,000 |
| Total equity                                       | 1,083,000 | 440,000 |
| Non-current liabilities                            |           |         |
| Long-term borrowings                               | 4,200     | 8,900   |
| Deferred tax                                       | 3,750     | 4,500   |
| Total non-current liabilities                      | 7,950     | 13,400  |
| Current liabilities                                |           |         |
| Trade and other payables                           | 18,960    | 11,400  |
| Short-term borrowings                              | 29,790    | 9,450   |
| Total current liabilities                          | 48,750    | 20,850  |
| Total equity and liabilities                       | 1,139,700 | 474,250 |

## **2. Alpha's investment in Beta**

On 1 October 20X0, Alpha acquired 75 million shares in Beta, paying cash of \$380 million for these shares. Beta had a retained earnings balance of \$275 million on the date of acquisition. On the date of acquisition, the directors measured the non-controlling interest in Beta at its fair value of \$98 million.

The directors of Alpha carried out a fair value exercise to measure the identifiable assets and liabilities of Beta at 1 October 20X0 and identified the following:

- Plant and equipment with a carrying amount of \$220 million had a fair value of \$240 million. The estimated remaining useful life of this plant and equipment at 1 October 20X0 was five years.
- On 1 October 20X0, the notes to the financial statements of Beta disclosed a contingent liability. On 1 October 20X0, the fair value of this contingent liability was reliably measured at \$4 million. The contingency was resolved in the year ended 30 September 20X1.
- A customer list used by Beta had a fair value of \$1.6 million. This customer list was not recognised in the individual financial statements of Beta as it was internally generated. The directors of Alpha considered that the useful life of this list was four years from 1 October 20X0.

These fair value adjustments have not been reflected in the individual financial statements of Beta. In the consolidated financial statements, the fair value adjustments will be regarded as temporary differences for the purposes of calculating deferred tax. The relevant tax rate for determining deferred tax is 20%.

No impairment of the goodwill on acquisition of Beta was evident when the review was carried out on 30 September 20X1. On 30 September 20X2, the directors of Alpha carried out a further review and concluded that the recoverable amount of the net assets of Beta at that date was \$500 million. Beta is regarded as a single cash generating unit for the purpose of measuring goodwill impairment.

## **3. Intra-group trading**

Alpha sells goods to Beta and applies a mark-up of 20% on the cost of these supplies. Sales of these goods from Alpha to Beta during the year to 30 September 20X2 totalled \$15 million. One quarter of these goods were still in Beta's inventory on 30 September 20X2.

Any adjustment which is necessary in the consolidated financial statements as a result of these sales will be regarded as a temporary difference for the purposes of calculating deferred tax. The relevant tax rate for determining deferred tax is 20%. No amounts were owed by Beta to Alpha in respect of these sales at 30 September 20X2.

## **4. Investment in Drax**

On 1 October 20X1, Alpha purchased 25% of the equity shares of Drax at a cost of \$18 million giving it significant influence over Drax. On the date of purchase, Drax had net assets with a carrying amount of \$70 million. On 1 October 20X1, there was no significant difference between the fair values of the net assets of Drax and their carrying amounts. Drax's net assets on 30 September 20X2 were \$79 million.

Alpha's investment in Drax has not suffered any impairment since acquisition.

## 5. Restoration costs

On 1 October 20X1, Alpha purchased a licence to extract minerals from a new site for a five-year period. The costs of the extraction licence were recognised in intangible assets and amortised appropriately. Local legislation requires the site owner to restore any environmental damage at the end of the five-year licence. The cost of restoration includes landscaping and other groundworks which are expected to cost \$4 million and will take place at the end of the five-year period. Alpha will capitalise these costs as part of the extraction licence.

No entries have been recorded in the draft financial statements of Alpha for these restoration costs.

An appropriate discount rate for determining the present value of future payments is 10%. At this rate, the present value of \$1 payable in five years is 62.1 cents.

### Requirement (25 marks)

**Prepare the consolidated statement of financial position of Alpha at 30 September 20X2. You need only consider the deferred tax implications of any adjustments you make where the question specifically refers to deferred tax.**

Note: You should show all workings to the nearest \$'000 and no explanations of consolidation adjustments are required.

(25 marks)

## 2 of 4

Gamma, a listed entity, prepares financial statements to 30 September each year. You are a trainee accountant employed by Gamma and report to the finance director (FD) of Gamma. You also own a small number of equity shares in Gamma. One of your key responsibilities is to prepare the first draft of Gamma's published financial statements. You have recently received an email from the FD regarding the financial statements for the year ended 30 September 20X5.

The following exhibits, available on the left-hand side of the screen, provide information relevant to the question:

1. Email – an email from the FD.
2. Attachment 1 to the email – provides details relating to a sale of goods with a two-year repair service.
3. Attachment 2 to the email – details the valuation of a property which is being rented out on short-term leases.

This information should be used to answer the question **requirements** within your chosen **response option(s)**.

### 1. Email

To: Trainee accountant  
From: Finance director  
Subject: Earnings per share (EPS) calculation  
Date: 30 September 20X5

As you will know, we have issued 1.5 million new equity shares at full market value on 1 February 20X5, taking our total number of shares in issue to 6 million shares. It is very important that the upcoming set of financial results of Gamma show a favourable financial performance to impress the new shareholders. There are a couple of relatively complex events which have occurred in the year ended 30 September 20X5 which you may be unsure how to deal with in your preparation of the draft financial statements. These events are described in the two attachments to this email. I have also included the way in which I would like you to deal with them in the financial statements. Assuming you follow my instructions, then the profit for the year (after tax) of Gamma for the year will be \$1.8 million. Given that the number of shares in issue at the start of the year was 4.5 million, that would give EPS of 40 cents, which is highly satisfactory. Given you also own shares in Gamma, this should be to your advantage.

You should be aware that your annual performance appraisal, which I am responsible for, is due shortly.

### 2. Attachment 1 to the email

On 31 March 20X5, we sold a large machine to a major customer. The normal selling price of the machine is \$800,000 but we sold it to the customer for \$840,000. This is because the sale includes an agreement to provide an after-sales repair service for the machine for a two-year period from 31 March 20X5. We would normally expect to charge a fee of \$80,000 per annum to provide this service for a machine of this nature but we offered this customer a good deal because they provide us with so much business. I can reliably estimate that the machine will only cost us about \$50,000 each year to repair on average. So far, the only repair cost we have incurred is expenditure of \$20,000. I want you to recognise \$840,000 in revenue for the current period. I would like you to show the \$20,000 as an asset for now. Until we know the total actual repair costs for the two-year period, I do not want subjective amounts affecting our profit. Overall, my suggestions seem reasonable as the customer paid us \$840,000 on 30 June 20X5.

(12 marks)

### 3. Attachment 2 to the email

As you know, we have a large investment property which we rent out to tenants on short leases. We have chosen to apply the cost model to our investment property. The current carrying amount of the property is \$1.2 million. We have recently negotiated a lease with new tenants who will begin to rent the property from 1 October 20X5. Due to a surplus of properties available for rental, we have had to reduce the amount we are charging the new tenants. This has affected the resale value of the property, which is currently estimated at \$900,000 after selling costs. On the basis that we continue to rent the property out to tenants, then the present value of all future rental payments would be around \$1 million. We may be embarking on a restructuring in the near future, although nothing has been firmly decided yet. If we do restructure, then the property could be put to an alternative use and the present value of the future net cash inflows generated by the property could be reliably estimated as at least \$1.3 million. Therefore, I am satisfied that the current carrying amount of the property is fully justified.

(5 marks)

#### Requirement (25 marks)

**(a) Using the information in exhibits 2 and 3, explain and show how the transactions described should be accounted for in the financial statements of Gamma for the year ended 30 September 20X5.**

(17 marks)

Notes:

- The mark allocations are indicated in each exhibit.
- Marks will be awarded for BOTH figures AND explanations.
- Ignore taxation.
- Your answer to part (a) should NOT discuss any ethical issues.

**(b) Using the information in exhibit 1, and your answer to part (a) of this question, compute the earnings per share of Gamma for the year ended 30 September 20X5.**

Note: Explanations are NOT required for part (b).

(3 marks)

**(c) Using the information in exhibit 1, explain the ethical issues which confront you as a result of the email sent to you from the finance director.**

(5 marks)

### **3 of 4**

Delta prepares financial statements to 30 September each year.

The following exhibits, available on the left-hand side of the screen, provide information relevant to the question:

1. Purchase of assets – provides details of the purchase of a brand name and inventory during the period.
2. Interest free loans – provides details of loans to employees made in the year ended 30 September 20X5.
3. Manufacturing process – provides details of a project to improve a manufacturing process.

This information should be used to answer the question **requirements** within your chosen **response option(s)**.

#### **1. Purchase of assets**

Hams, a well-known retailer, became insolvent on 1 April 20X5 and began to sell off its assets. On 1 July 20X5, Delta purchased the Hams brand name, together with a quantity of inventory. The purchase agreement provided for payments of \$60 million for the brand name and \$20 million for the inventory. Between 1 July 20X5 and 30 September 20X5, Delta sold 75% of the inventory for net proceeds of \$18 million. The remainder of the inventory related to a product range which was to be discontinued. On 15 October 20X5, Delta sold the remainder of this inventory to a single customer for net proceeds of \$4.5 million. Delta intends to continue to sell goods under the Hams brand name for the foreseeable future and as such, considers that the useful life of the brand name is indefinite. Apart from the product range which is to be discontinued, demand for products sold under the Hams brand name continues to be buoyant.

(9 marks)

#### **2. Interest free loans**

On 1 October 20X4, Delta made loans totalling \$12.1 million to some key employees. The loans are interest-free provided these employees continue to remain employed and provide services to Delta for the two-year period from 1 October 20X4 to 30 September 20X6, when the loans become repayable. All the employees who received these loans are expected to remain employed and provide services in this two-year period. The market rate for a similar loan from Delta would normally be 10% per annum.

(7 marks)

### 3. Manufacturing process

In the year ending 30 September 20X4, Delta had begun a project which was seeking to identify new and improved ways of manufacturing its key products. Expenditure incurred in that year was as follows:

- On 1 January 20X4: the purchase of machinery costing \$15 million to be used exclusively on the project. The directors estimated that at 30 June 20X5, the machinery would be sold for \$1.5 million as it would no longer be required.
- From 1 January 20X4 to 30 September 20X4: ongoing project costs totalling \$1 million per month.

On 30 September 20X4, the directors of Delta were unsure about the technical feasibility and commercial viability of this project.

Details of the project for the year ended 30 September 20X5 were as follows:

- From 1 October 20X4 to 31 December 20X4, the ongoing costs related to the project continued at a rate of \$1 million per month.
- On 31 December 20X4, the technical feasibility and commercial viability of the project was confirmed.
- From 1 January 20X5 until 30 June 20X5, Delta incurred expenditure on the project at a rate of \$2 million per month.
- The project was completed on 30 June 20X5 and the new manufacturing process became available to use from that date. The process was actually brought into use from 1 August 20X5.
- On 30 June 20X5, the directors of Delta considered that the project would provide Delta with a significant economic advantage over its rivals for a five-year period.
- On 30 June 20X5, the machinery purchased on 1 January 20X4 was advertised for sale. It was sold for \$1.8 million on 31 July 20X5.

(9 marks)

### Requirement (25 marks)

**(a) Using the information in exhibits 2 and 3, explain and show how the transactions described should be accounted for and reported in the financial statements of Delta for the year ended 30 September 20X5.**

(16 marks)

**b) Using the information in exhibit 3, explain and show how the transactions described there should be accounted for and reported in the financial statements of Delta for the years ended 30 September 20X4 and 20X5.**

(9 marks)

Notes:

- The mark allocations are indicated in each exhibit.
- Marks will be awarded for BOTH figures AND explanations.

**4 of 4**

You are the financial controller of Omega. The consolidated financial statements of Omega for the year ended 30 September 20X5 were authorised for issue on 31 October 20X5. These statements were further discussed at a directors' meeting held on 15 November 20X5. One of the directors, who is not an accountant, has approached you with some queries relating to these financial statements.

The following exhibits, available on the left-hand side of the screen, provide information relevant to the question:

1. Assets of subsidiary – details the assets of a subsidiary of Omega operating in the farming sector.
2. Post year end – details of events occurring after the year end and discussed at a board meeting on 15 November 20X5.
3. Inventory – details of inventory bought from a foreign supplier.

This information should be used to answer the question **requirements** within the **response option** provided.

**1. Assets of subsidiary**

As you know, we acquired a new subsidiary during the year ended 30 September 20X4. This subsidiary operates several different farms, which contain both cattle and sheep. We dealt with all the initial consolidation procedures last year and I understand how all of that works. However, I am not sure how we have measured the assets of this subsidiary at 30 September 20X5. I thought that assets were generally measured based on what they cost. I understand how that would work for this subsidiary in the case of the purchase of farm machinery, or the purchase of cattle or sheep from the market. I am not clear, though, how you would measure the cattle and sheep subsequently born on the farm as there is no cost of purchase. The same would apply to inventory items like meat or milk. Please explain how we measured the assets of this subsidiary in its statement of financial position. When do profits and losses relating to farming assets get recognised, given that there is often no real 'cost' of acquisition?

(12 marks)

## 2. Post year end

At our board meeting, the finance director provided us with a summary of three events which had occurred in the period immediately after 30 September 20X5. These were:

1. The settlement of a legal case which a former employee had brought against one of our subsidiaries. The case was in respect of alleged unfair dismissal on 31 December 20X4. At 30 September 20X5, our legal team estimated that the case was likely to result in our paying \$500,000 to this employee. On 20 October 20X5, the case was settled, and the subsidiary was required to pay \$560,000, including court costs.
2. A fire at one of the factories of another subsidiary on 11 October 20X5. This fire caused damage which is likely to cost \$2 million to rectify. The subsidiary does have the necessary resources to finance this work. There was no insurance in place to cover this cost.
3. The launch of a new product on 10 November 20X5 by a competitor. This product is likely to provide significant competition to one of the key products of another subsidiary. As the subsidiary may need to reduce its selling prices, estimates suggest the net realisable value of the inventories of this subsidiary at 30 September 20X5 could be \$250,000 lower than its cost.

I'm a little confused about how these events should have been reflected in the financial statements for the year ended 30 September 20X5. I know that the group financial statements were authorised for issue on 31 October 20X5. Please explain the appropriate treatment of each item in our financial statements. (8 marks)

## 3. Inventory

On 1 August 20X5, Omega bought some inventory from a supplier based in a country whose currency is the groat. The invoiced amount was 840,000 groats. Omega paid for the goods on 31 August 20X5. Omega sold these goods to customers based in that country during October 20X5 for 1 million groats, and it looks like we made a healthy profit on the sale of those goods after the year end. I am unsure how this transaction would have been recognised in the financial statements for the year ended 30 September 20X5, given that the financial records of all of our group companies are prepared in \$ and the exchange rate has changed throughout the period of this transaction (see the table below). Please explain the appropriate financial reporting treatment to me.

### Table of exchange rates

| Date              | Exchange rate<br>(groats to \$1) |
|-------------------|----------------------------------|
| 1 August 20X5     | 6                                |
| 31 August 20X5    | 7                                |
| 30 September 20X5 | 8                                |

(5 marks)

## Requirement (25 marks)

**Provide answers to the queries raised by one of Omega's directors detailed in exhibits 1, 2, and 3, relating to the consolidated financial statements for the year ended 30 September 20X5.**

Notes: The mark allocations are indicated in each exhibit.

(25 marks)

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# Answers

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## 1 Consolidated statement of financial position of Alpha as at 30 September 20X2

|                                |                                                         | \$000                   |
|--------------------------------|---------------------------------------------------------|-------------------------|
| <b>Assets</b>                  |                                                         |                         |
| <b>Non-current assets</b>      |                                                         |                         |
| Property, plant and equipment  | (680,000 + 430,000 + 20,000 (W1) – 8,000 (W1))          | 1,122,000               |
| Intangible assets              | (3,000 + 1,600 (W1) – 800 (W1) + 2,484 (W8) – 497 (W8)) | 5,787                   |
| Investment in associate        | (W5)                                                    | 20,250                  |
| Goodwill                       | (W2)                                                    | 49,760                  |
|                                |                                                         | <u>1,197,797</u>        |
| <b>Current assets</b>          |                                                         |                         |
| Inventories                    | (30,000 + 28,000 – 625 (W6))                            | 57,375                  |
| Trade receivables              | (16,700 + 9,800)                                        | 26,500                  |
| Cash and cash equivalents      | (12,000 + 6,450)                                        | 18,450                  |
|                                |                                                         | <u>102,325</u>          |
| Total assets                   |                                                         | <u><u>1,300,122</u></u> |
| <b>Equity and liabilities</b>  |                                                         |                         |
| <b>Equity</b>                  |                                                         |                         |
| Share capital (\$1 shares)     |                                                         | 380,000                 |
| Retained earnings              | (W4)                                                    | 720,505                 |
| Non-controlling interest       | (W3)                                                    | 103,500                 |
| Total equity                   |                                                         | <u>1,204,005</u>        |
| <b>Non-current liabilities</b> |                                                         |                         |
| Provision                      | (2,484 (W8) + 248 (W8))                                 | 2,732                   |
| Long-term borrowings           | (4,200 + 8,900)                                         | 13,100                  |
| Deferred tax                   | (3,750 + 4,500 + 2560 (W1) – 125 (W6))                  | 10,685                  |
| Total non-current liabilities  |                                                         | <u>26,517</u>           |
| <b>Current liabilities</b>     |                                                         |                         |
| Trade and other payables       | (18,960 + 11,400)                                       | 30,360                  |
| Short-term borrowings          | (29,790 + 9,450)                                        | 39,240                  |
| Total current liabilities      |                                                         | <u>69,600</u>           |
| Total equity and liabilities   |                                                         | <u><u>1,300,122</u></u> |

**Workings****W1 Net assets – Beta**

|                                                                 | Acquisition<br>\$000 | Year end<br>\$000 | Movement<br>\$000 |
|-----------------------------------------------------------------|----------------------|-------------------|-------------------|
| Share capital                                                   | 100,000              | 100,000           |                   |
| Retained earnings                                               | 275,000              | 340,000           |                   |
| FV adjustment: PPE                                              | 20,000               | 20,000            |                   |
| FV depreciation (\$20 million/5 years x 2)                      |                      | (8,000)           |                   |
| Contingent liability                                            | (4,000)              | nil               |                   |
| Customer list                                                   | 1,600                | 1,600             |                   |
| Amortisation of customer list (\$1.6m/4 years x 2)              |                      | (800)             |                   |
| Deferred tax on fair value adjustment                           | (3,520)              | (2,560)           |                   |
| Net assets for consolidation                                    | <u>389,080</u>       | <u>450,240</u>    | 61,160            |
| Post-acquisition increase in net assets (\$450,240 – \$389,080) |                      |                   |                   |

**W2 Goodwill – Beta**

|                               | <b>\$000</b>   |
|-------------------------------|----------------|
| Cost of investment            | 380,000        |
| NCl at acquisition            | 98,000         |
|                               | <u>478,000</u> |
| Less net assets (W1)          | (389,080)      |
| Goodwill at acquisition       | 88,920         |
| Less impairment (W7)          | (39,160)       |
| Goodwill at 30 September 20X2 | <u>49,760</u>  |

**W3 Non-controlling interest in Beta**

|                                             | <b>\$000</b>   |
|---------------------------------------------|----------------|
| At acquisition (W2)                         | 98,000         |
| NCl share of movement (25% x \$61,160 (W1)) | 15,290         |
| Impairment (25% x \$39,160 (W7))            | (9,790)        |
|                                             | <u>103,500</u> |

**W4 Retained earnings**

|                                                                | <b>\$000</b>   |
|----------------------------------------------------------------|----------------|
| Alpha                                                          | 703,000        |
| Alpha % of Beta post-acquisition profits (75% x \$61,160 (W1)) | 45,870         |
| Alpha % of associate (Drax) post acquisition (W5)              | 2,250          |
| PURP (W6)                                                      | (500)          |
| Impairment (75% x \$39,160) (W7)                               | (29,370)       |
| Adjustments re provision (W8)                                  | (745)          |
|                                                                | <u>720,505</u> |

**W5 Investment in associate (Delta)**

|                                                            | <b>\$000</b>  |
|------------------------------------------------------------|---------------|
| Cost                                                       | 18,000        |
| 25% of post-acquisition profits (\$79,000 – \$70,000 (W4)) | 2,250         |
| Carrying amount at 30 September 20X2                       | <u>20,250</u> |

**W6 PURP**

|                                      | <b>\$000</b> |
|--------------------------------------|--------------|
| Sales in inventory (\$15m x 25%)     | 3,750        |
| Unrealised profit (\$3,750 x 20/120) | 625          |
| Deferred tax asset (\$625 x 20%)     | 125          |
| Adjustment to retained earnings      | <u>500</u>   |

**W7 Impairment of Beta as at 30 September 20X2**

|                                     | <b>\$000</b>   |
|-------------------------------------|----------------|
| Net assets of Beta                  | 450,240        |
| Goodwill on acquisition             | 88,920         |
|                                     | <u>539,160</u> |
| Recoverable amount of Beta as a CGU | 500,000        |
| Impairment                          | <u>39,160</u>  |

**W8 Adjustment re provision:**

|                                        |                 | <b>\$000</b> |
|----------------------------------------|-----------------|--------------|
| Provision recognised on 1 October 20X1 | (4,000 x 0.621) | 2,484        |
| Unwind discount on 30 September 20X2   | (2,484 x 0.1)   | 248          |
|                                        |                 | <u>2,732</u> |
| Amortisation at 30 September 20X2      | (2,484/5)       | 497          |
| Retained earnings adjustment (W4)      | (248 + 497)     | 745          |

## 2 Attachment 1 to email

The relevant standard is IFRS 15 – *Revenue from Contracts with Customers*. Under IFRS 15, the sale of goods with an after-sales service must be considered as two separate performance obligations (principle).

Where the transaction price is a single amount, then it needs to be allocated to the individual performance obligations based on the relative stand-alone selling prices of the individual components (principle).

In this case, the sum of the selling prices of the individual components is \$960,000 [\$800,000 (the stand-alone selling price of the machine) + 2 x \$80,000 (the stand-alone selling price of a two-year repair contract)].

Given that the agreed price payable for the 'bundle' is \$840,000, then the revenue from the sale of the machine would be measured at **\$700,000** (\$840,000 x 800,000/960,000). This would be recognised in **full** in the year ended 30 September 20X5 as delivery of the machine means the performance obligation has been satisfied.

Therefore the revenue from the after-sales repair service would be **\$140,000** (\$840,000 – \$700,000). This revenue needs to be recognised over the two-year period from 1 April 20X5 – the period in which Gamma provides the service to the customer (principle).

This means that the revenue recognised from this source in the year ended 30 September 20X5 is \$35,000 (140,000 x 6/24).

The difference of \$105,000 between the amount received from the customer (\$840,000) and the amount recognised as revenue in the year ended 30 September 20X5 (\$700,000 + \$35,000 = \$735,000) will be shown as a contract liability (deferred income) in the statement of financial position of Gamma.

The contract liability will be split between current and non-current (principle). **\$70,000** (\$105,000 x 12/18) will be shown as a current liability and **\$35,000** as a non-current liability.

IFRS 15 requires that the costs of fulfilling a contract (the repair service) should initially be recognised as assets and taken to profit or loss on a systematic basis as goods or services are transferred to the customer (principle).

In this case, it would appear that the costs incurred to date (\$20,000) of fulfilling the repair service should be shown as a cost in profit or loss rather than as an asset in the statement of financial position (principle).

Given that the total costs of fulfilling the contract are estimated to be \$50,000 per annum, there is a case for arguing that \$25,000 (50,000 x 6/12) should be recognised in profit or loss (not just the \$20,000 incurred) as a cost in the year ended 30 September 20X5 with a liability of \$5,000 (25,000 – 20,000) recognised in current liabilities.

### W1 – Spreadsheet workings: computation of revenue recognised

|                                                      | Machine<br>\$ | Repair service<br>\$ | Total<br>\$ |
|------------------------------------------------------|---------------|----------------------|-------------|
| Stand-alone selling price                            | 800,000       | 160,000              | 960,000     |
| 'Bundle' price                                       |               |                      | 840,000     |
| Allocation of 'bundle price' in relevant proportions | 700,000       | 140,000              | 840,000     |
| Revenue recognised in the period                     | 700,000       | 35,000               | 735,000     |
| Amount received from customer in the period          | (700,000)     | (140,000)            | (840,000)   |
| So contract liability at year end equals             | n/a           | (105,000)            | (105,000)   |
| Settled within 12 months (12/18)                     | n/a           | 70,000               | 70,000      |
| Settled after more than 12 months (6/18)             | n/a           | 35,000               | 35,000      |

## Attachment 2 to email

The relevant standard is **IAS 36 – Impairment of Assets**. IAS 36 requires that assets are reviewed for impairment whenever indicators of impairment are present (principle). The fact that there is currently a surplus of properties available for rental is *prima-facie* evidence that indicators are present in this case (principle).

An impairment review involves comparing the carrying amount of an asset with its recoverable amount. The recoverable amount of an asset is the higher of its value in use and its fair value less costs of disposal (principle).

The value in use of the asset in this case is **\$1 million**. IAS 36 requires that value in use be computed based on the existing use to which the asset is being put, with no account taken of potential changes in use due to possible future restructurings (principle). The fair value less costs of disposal is \$900,000 which is lower than the value in use.

Therefore the property has suffered impairment of **\$200,000** (\$1.2 million – \$1 million). This amount will be taken to **profit or loss** as an operating cost.

The revised carrying amount of the asset will be \$1 million. This will be shown as a non-current asset in the statement of financial position.

## W2 – Spreadsheet workings: calculation of earnings per share

|                                                                                                                                                                  | \$         |
|------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------|
| Earnings as per draft financial statements (exhibit 1)                                                                                                           | 1,800,000  |
| Adjustments to revenue and for repair service costs (\$105,000 + \$20,000 – OF rule applies here. Adjustment of \$20,000 could alternatively have been \$25,000) | (125,000)  |
| Impairment of property                                                                                                                                           | (200,000)  |
| Earnings as corrected                                                                                                                                            | 1,475,000  |
| Weighted average number of shares = $4,500,000 \times 4/12 + 6,000,000 \times 8/12$                                                                              | 5,500,000  |
| Therefore earnings per share equals $(1,475,000/5,500,000)$                                                                                                      | 26.8 cents |

### Ethical issue – Email from FD

You are in danger of breaching the fundamental ethical principle of objectivity. You have a personal interest in reporting a favourable profit because of the fact that you own shares in Gamma and a favourable profit could result in enhanced dividends and shareholder value.

You face a further danger of breaching the principle of objectivity because of the way the FD has linked your complying with this instructions to your upcoming staff appraisal (candidates who refer to an intimidation threat here will receive appropriate credit).

You also may be breaching the fundamental ethical principle of professional competence and due care. The treatments suggested by the FD are clearly inappropriate and not in compliance with IFRS standards. Were you to implement them, you would be in breach of your professional duty to conduct yourself in a competent manner.

### 3 (a) Exhibit 1 – Purchase of assets

IAS 38 – *Intangible Assets* states that intangible assets can only be recognised if it is probable that economic benefits attributable to the asset will flow to the entity and the cost of the asset can be measured reliably (principle).

In the case of the purchase of the brand name, both of these conditions are satisfied (conclusion).

IAS 38 states that intangible assets should be amortised **over their useful lives** where the useful life is considered to be **finite** (principle).

Where the useful life of an intangible asset is considered to be indefinite, then the asset should not be amortised and the useful life would be reviewed annually. Additionally, the brand should be reviewed annually for impairment, regardless of whether indicators of impairment are present (principle).

Based on the information provided, it would appear that **no impairment** is necessary and the asset can be shown at a carrying amount of **\$60 million**. \$60 million would be shown as a **non-current asset**.

**\$18 million** would be recognised in **revenue** for the inventories sold during the year ended 30 September 20X5.

In the same period, **\$15 million** (\$20 million x 75%) would be recognised in **cost of sales**. Both the \$18 million and the \$15 million would be included in the statement of **profit or loss** for the year ended 30 September 20X5.

Under the principles of **IAS 10 – Events After the Reporting Date** – the post year-end date sale of goods held in inventory at the year end is an **adjusting event**.

The goods held in inventory have a cost of **\$5 million** (\$20 million – \$15 million) but were sold for \$4.5 million. \$4.5 million is therefore their **net realisable value**.

Under the principles of IAS 2, inventories are measured at the **lower of cost and net realisable value**. Therefore inventories of **\$4.5 million** would be recognised as a **current asset**.

The required write down of **\$0.5 million** (\$5 million – \$4.5 million) would be recognised in the statement of **profit or loss** for the year ended 30 September 20X5.

### Exhibit 2 – Interest free loans to employees

Under the principles of IFRS 9 – *Financial Instruments* – the loans are a **financial asset** of Delta. IFRS 9 states that financial assets should initially be recognised at fair value in the financial statements (**principle**).

In this case, the initially recognised amount will be \$10 million [ $\$12 \cdot 10 / (1 \cdot 10)^2$ ].

The difference of \$2.1 million between the amount lent and the financial asset will be regarded as an employee benefit under IAS 19 *Employee Benefits*, and recognised as an expense over the two-year period from 1 October 20X4 to 30 September 20X6 (principle).

Therefore, in the year ended 30 September 20X5, an employment expense of **\$1.05 million** ( $2 \cdot 10 / 2$ ) would be recognised in the statement of **profit or loss**.

The residual difference of **\$1.05 million** (\$2.1 million – \$1.05 million) would be recognised as a deferred employee compensation **prepayment** in the statement of financial position at 30 September 20X5. The prepayment will be shown as a **current asset**.

Since the cash flows expected from the loan asset are known in terms of their timing and amount and Delta expects to retain the asset and collect the cash flows as they fall due, the loan asset can be measured at amortised cost from 1 October 20X4 (principle – up to).

This means that Delta will recognise finance income of **\$1 million** (\$10 million x 10%) in its statement of **profit or loss** for the year ended 30 September 20X5.

The loan asset at 30 September 20X5 will be **\$11 million** (\$10 million + \$1 million). This will be shown as a **current asset** in the statement of financial position of Delta.

**Tutorial note:** *Candidates who recognise the employment cost on an 'amortised cost' basis, i.e. \$1 million (\$10 million x 10%) in the year ended 30 September 20X5 and \$1.1 million (\$11 million x 10%) in the year ended 30 September 20X6 will receive full credit.*

#### (b) Exhibit 3 – Manufacturing process

IAS 38 does not allow any expenditure on a research and development project to be recognised as an asset until the technical feasibility and commercial viability of the project has been established (principle).

After the technical feasibility and commercial viability of the project has been established, expenditure which has previously been shown as an expense in profit or loss cannot be restated as an intangible asset (principle).

This means that, for the year ended 30 September 20X4, the on-going project costs of **\$9 million** (9 x \$1 million) will have been expensed in the statement of **profit or loss** and the further **\$3 million** from 1 October to 31 December 20X4 will be expensed in the profit or loss for the year ending 30 September 20X5.

Under the principles of IAS 16 – *Property, Plant and Equipment* (PPE) – the machinery purchased on 1 January 20X4 will be regarded as PPE and depreciated over its useful life of 18 months (from 1 January 20X4 to 30 June 20X5).

The depreciable amount will be its cost less its estimated residual value (**principle**). In this case, the depreciable amount is **\$13.5 million** (\$15 million – \$1.5 million). Therefore the monthly depreciation will be **\$750,000** (\$13.5 million/18).

The depreciation of **\$6.75 million** (9 x \$750,000) for the nine months from 1 January 20X4 to 30 September 20X4 and \$2.25 million (3 x \$750,000) for the three months from 1 October to 20X4 to 31 December 20X4 will be shown as an **expense** in the statements of profit or loss for 20X4 and 20X5 respectively.

From 1 January 20X5, ongoing expenditure on the project will be able to be recognised as an intangible asset by Delta. This applies to both the on-going project costs and the depreciation of the machinery exclusively used on the project (**principle**).

Therefore at 30 June 20X5 (the date the project is concluded), the intangible asset will be \$16.5 million (6 x \$2 million + 6 x \$750,000).

IAS 38 requires that intangible assets with finite useful lives be amortised over those lives (principle already rewarded). Amortisation starts from the date the asset is **available for use**, rather than the date it is actually brought into use. In this case, that date is **30 June 20X5**.

Therefore amortisation for the year ended 30 September 20X5 will be **\$825,000** (\$16.5 million x 1/5 x 3/12).

The closing carrying amount of the intangible asset will be **\$15,675,000** (\$16.5 million – \$825,000). This will be shown as a **non-current asset** in the statement of financial position of Delta at 30 September 20X5.

On 30 June 20X5, the carrying amount of the machinery will be **\$1.5 million**. **No further depreciation will be charged** because the machinery is being advertised for sale from that date.

A profit on sale of the machinery of **\$300,000** (\$1.8 million – \$1.5 million) will be shown in the statement of **profit or loss** of Delta for the year ended 30 September 20X5.

#### 4 Exhibit 1 – Assets of subsidiary

**IAS 41 Agriculture** deals with **agricultural activity**. Agricultural activity is the management by an entity of biological transformation and harvest of biological assets for sale or conversion into agricultural produce or into additional biological assets.

A biological asset is a living plant or animal. Cattle or sheep are examples of biological assets.

Agricultural produce is the harvested produce of biological assets. Both milk and meat are examples of agricultural produce.

Therefore IAS 41 applies to many of the assets of our farming subsidiary (conclusion).

IAS 41 states that biological assets should normally be measured at fair value less costs to sell in the statement of financial position on initial recognition and at each year end.

Where cattle or sheep are purchased at a market, this means a reliable fair value and related costs can be used to arrive at initial recognised costs and any subsequent increase/decrease at the year end.

In the case of newly born cattle or sheep, the same 'fair value less costs to sell' principle applies.

A gain or loss arising on initial recognition or arising from a change in fair value less costs to sell at the year end are included in profit or loss.

This means that there is immediate recognition of a gain (equal to fair value less costs to sell) in profit or loss as the relevant biological asset is recognised when cattle and sheep are newly born.

IAS 41 does allow the 'cost model' to be used for biological assets if fair values cannot be measured reliably but this is unlikely to be true for biological assets like cattle or sheep where market values are available.

IAS 41 states that agricultural produce should be measured at its fair value less costs to sell at the point of harvest (principle).

IAS 41 defines 'harvesting' as the detachment of produce from a biological asset (for example, the milking of a cow) or the cessation of a biological asset's life processes (for example, the slaughter of a cow or a sheep for its meat).

The initial recognition of agricultural produce in the statement of financial position is likely to lead to an equal gain being recognised in the statement of profit or loss.

From this point on, agricultural produce would be subject to the recognition and measurement requirements of IAS 2 – *Inventories*.

Profits or losses on the subsequent sale of agricultural produce would be recognised when such produce was actually sold.

Other assets of our farming subsidiary (for example, farmland, farm machinery or trade receivables) would be measured using the IFRS standards relevant to their nature.

## Exhibit 2 – Post year end

There is an IFRS standard, **IAS 10 *Events after the Reporting Period*** which deals with this issue. IAS 10 defines an event after the reporting date as one occurring between the reporting date and the date the financial statements are authorised for issue.

IAS 10 further classifies events after the reporting date into adjusting and non-adjusting events (principle).

An adjusting event is one which provides **additional evidence of conditions existing at the reporting date**. The first event you have queried is **an example of an adjusting event because** it provides confirmation of the amount of a liability which existed at the reporting date (since the unfair dismissal occurred on 31 December 20X4, prior to the year end).

IAS 10 requires that the impact of adjusting events be recognised in the financial statements (principle). This means **that we should recognise a liability of \$560,000 in the statement of financial position at 30 September 20X5 in respect of this case** and an expense of \$560,000 in the statement of profit or loss for the year. We should also make **additional disclosures** if this would assist the users of the financial statements.

Non-adjusting events are those events and transactions which provide additional evidence of conditions which arose **after** the reporting date. The fire at the factory is an example of a non-adjusting event.

Non-adjusting events should not be recognised in the financial statements, but should be fully disclosed in the notes to the financial statements if material.

The only exception to the 'non-recognition' rule mentioned above is if the event would be likely to impact on the going concern status of the reporting entity. This exception does not apply here because the subsidiary has the resources to finance the cost of rectifying the fire damage.

The third event you mentioned is **not an 'event after the reporting date' in accordance with IAS 10** as far as our latest financial statements are concerned because it occurred after the financial statements had been authorised for issue. The impact of this event will be shown in the **financial statements for the year ended 30 September 20X6**.

## Exhibit 3 – Purchase of inventory from a foreign supplier

This purchase is dominated in another currency and so is a foreign currency transaction. The accounting treatment for such transactions is set out in IAS 21 *The Effects of Changes in Foreign Exchange Rates*.

IAS 21 states that foreign currency transactions should initially be recorded at the rate of exchange in force when the transaction occurred (**principle**). This means that, in this case, an **inventory and a payable of \$140,000** (840,000/6) would be recorded.

The payable is settled on 31 August 20X5. The cash required to settle the payable would have been \$120,000 (840,000/7).

This means that an exchange gain of **\$20,000** (140,000 – 120,000) would be recognised in the **statement of profit or loss**.

The closing balance of inventory would have a cost of **\$140,000**. This is **because** the inventory measured at cost is a non-monetary item (i.e. it is not expressed in terms of a monetary amount receivable or payable) and is not retranslated at the year end.

IAS 2 – *Inventories* – requires that inventories be measured at the lower of cost and net realisable value (NRV) (principle).

The NRV of the inventory is **\$125,000** (\$1 million/8). The closing exchange rate of 8 is used because NRV is a **monetary** measure.

Therefore the closing inventory will be \$125,000 and a loss of \$15,000 (\$140,000 – \$125,000) will be recognised in the statement of profit or loss for the year ended 30 September 20X5.

|                                | <i>Marks</i>     |
|--------------------------------|------------------|
| <b>1 Non-current assets</b>    |                  |
| – PPE                          | 1.5              |
| – Intangible assets            | 2                |
| – Investment in associate      | 1.5              |
| – Goodwill                     | 6                |
|                                | <u>11</u>        |
| <b>Current assets</b>          | <u>2</u>         |
| <b>Equity</b>                  |                  |
| – Share capital                | 0.5              |
| – Retained earnings            | 5                |
| – Non-controlling interests    | 1.5              |
|                                | <u>7</u>         |
| <b>Non-current liabilities</b> |                  |
| – Provision                    | 2                |
| – Other                        | 2                |
|                                | <u>4</u>         |
| <b>Current liabilities</b>     | <u>1</u>         |
|                                | <u><b>25</b></u> |
| <b>2 Attachment 1</b>          |                  |
| – Explanations per IFRS 15     | 7                |
| – Calculations                 | 5                |
|                                | <u>12</u>        |
| <b>Attachment 2</b>            |                  |
| – Explanations per IAS 36      | 3.5              |
| – Calculations                 | 1.5              |
|                                | <u>5</u>         |
| <b>EPS calculations</b>        | <u>3</u>         |
| <b>Ethics</b>                  | <u>5</u>         |
|                                | <u><b>25</b></u> |

|          |                           | <i>Marks</i>     |
|----------|---------------------------|------------------|
| <b>3</b> | <b>Exhibit 1</b>          |                  |
|          | – Explanations per IAS 38 | 4                |
|          | – Explanations per IAS 10 | 1                |
|          | – Explanations per IAS 2  | 2                |
|          | – Calculations            | 2                |
|          |                           | <u>9</u>         |
|          | <b>Exhibit 2</b>          |                  |
|          | – Explanations per IFRS 9 | 4                |
|          | – Calculations            | 3                |
|          |                           | <u>7</u>         |
|          | <b>Exhibit 3</b>          |                  |
|          | – Explanations per IAS 38 | 3                |
|          | – Calculations per IAS 38 | 2                |
|          | – Explanations per IAS 16 | 2                |
|          | – Calculations per IAS 16 | 2                |
|          |                           | <u>9</u>         |
|          |                           | <u><b>25</b></u> |
| <b>4</b> | <b>Exhibit 1</b>          |                  |
|          | – Explanations per IAS 41 | 10               |
|          | – Explanations per IAS 2  | 2                |
|          |                           | <u>12</u>        |
|          | <b>Exhibit 2</b>          |                  |
|          | – Explanations per IAS 10 | 7                |
|          | – Calculations            | 1                |
|          |                           | <u>8</u>         |
|          | <b>Exhibit 3</b>          |                  |
|          | – Explanations per IAS 21 | 2                |
|          | – Calculations            | 1                |
|          | – Explanations per IAS 2  | 1                |
|          | – Calculations            | 1                |
|          |                           | <u>5</u>         |
|          |                           | <u><b>25</b></u> |